

## Written Evidence to the Work and Pensions Select Committee

### Local Delivery of Employment Support Inquiry

**Submitted by:** Compass Consult (Employability & Skills) Ltd

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#### Executive Summary

Compass Consult welcomes the Work and Pensions Select Committee's inquiry into the local delivery of employment support.

The Government's ambition to devolve employment support represents an important opportunity to move away from a fragmented, centrally designed employment system towards genuinely integrated local employment and skills ecosystems.

However, devolution will only improve outcomes if it is accompanied by meaningful local flexibility, appropriate funding, access to data, integration across employment, skills, health and other public services, and a proportionate accountability framework.

Our central argument is:

**Employment support should be devolved on the basis of outcomes and local need, rather than simply the administration of nationally designed programmes. Strategic Authorities need sufficient powers and flexibility to design a coherent local employment system around people and employers, while national government retains responsibility for minimum standards, claimant rights, national objectives, evaluation and assurance.**

The current system risks creating a situation in which responsibility is devolved faster than decision-making power. This would leave local areas accountable for employment outcomes over which they have only partial control.

The development of local Get Britain Working Plans and Connect to Work provides an important foundation. Government guidance already envisages Strategic Authorities acting as accountable bodies in areas with devolution agreements, with upper-tier or unitary authorities undertaking that role elsewhere. Connect to Work is specifically intended to support disabled people, people with health conditions and people facing more complex barriers to work.

The next stage should therefore be to move from **programme devolution to system devolution.**

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## 1. How can local delivery best respond to the needs of different places and groups?

Employment markets are fundamentally local.

The barriers preventing someone from entering employment in a major metropolitan economy can be very different from those experienced in a coastal community, former industrial area, rural economy or rapidly growing city region.

Local employment support should therefore be based on a clear understanding of:

- the local labour market;
- employer demand;
- occupational and sectoral skills shortages;
- transport and accessibility;
- housing;
- health inequalities;
- childcare;
- digital exclusion;
- population demographics;
- educational attainment;
- economic inactivity;
- disability and health-related barriers; and
- the availability and capacity of trusted community organisations.

The purpose of devolution should be to enable local areas to combine these factors into a coherent employment strategy.

### Trusted institutions

People do not necessarily engage with employment support because it is delivered by a particular government department or because they have been formally referred to a programme.

For people furthest from the labour market, trust is often built through existing relationships.

This makes community organisations, local authorities, colleges, voluntary-sector organisations, health services, housing providers, youth organisations and other locally trusted institutions particularly important.

The employment system should therefore operate through **multiple trusted front doors**, rather than expecting everyone to enter through Jobcentre Plus.

This is particularly important for economically inactive people who are not receiving benefits.

## 2. Who is being ignored or disadvantaged?

There is a significant risk that the design of mainstream employment programmes leaves gaps between eligibility categories.

The system tends to divide people into programme cohorts when individuals frequently have overlapping barriers.

For example, a young person may simultaneously be:

- care experienced;
- disabled or have SEND;
- experiencing poor mental health;
- homeless or at risk of homelessness;
- involved with the criminal justice system;
- economically inactive;
- lacking qualifications; and
- disconnected from the labour market.

These are not separate problems. They interact.

A programme designed around a single primary characteristic can therefore struggle to support people with multiple and overlapping disadvantages.

### Young people

This is particularly important for young people.

The Committee's recent work identified approximately **1.01 million young people aged 16–24 as NEET in January–March 2026**, with 61% economically inactive.

The Youth Guarantee provides an important opportunity, but local employment support should not be restricted to young people already visible to the benefits system.

The Committee should consider how local systems can reach young people through schools, colleges, universities, youth services, community organisations, housing services and other trusted institutions.

The Youth Guarantee Trailblazers provide valuable test-and-learn opportunities. The Government initially described the Trailblazers as a means of developing the approach ahead of wider rollout.

The lessons from these programmes should be used to inform the wider devolved employment system rather than treated as isolated projects.

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### **3. The opportunity presented by devolution**

Devolution provides the opportunity to create a fundamentally different model.

The current system is characterised by multiple programmes, contracts, referral mechanisms, eligibility rules, outcome definitions and reporting arrangements.

A local person may encounter several different organisations without experiencing these as one coherent employment journey.

The opportunity is to create:

#### **A Local Employment Ecosystem**

**Person**



**Trusted local access**



**Holistic assessment**



**Integrated employment, skills, health and wider support**



**Employer engagement**



**Employment**



**Retention and progression**

This would represent a significant improvement over a programme-by-programme approach.

The objective should be that the individual experiences **one employment system**, even where several organisations provide the underlying support.

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#### **4. What should be national and what should be local?**

We recommend a clear division of responsibilities.

##### **National government should retain responsibility for:**

- national employment policy;
- national minimum standards;
- claimant rights and safeguards;
- benefit conditionality;
- national labour-market objectives;
- national data standards;
- national evaluation;
- evidence standards;
- minimum service expectations;
- equality and accessibility requirements;
- national performance oversight; and
- ensuring consistency of entitlement.

##### **Strategic Authorities should have responsibility for:**

- local employment strategies;
- identifying priority cohorts;
- local labour-market intelligence;
- commissioning and procurement within national parameters;
- local referral pathways;
- integration with skills provision;
- employer engagement;
- partnership with health and public services;
- integration with housing, justice and other relevant services;
- allocation of flexible local funding;
- local innovation;
- service design; and
- determining how support is best delivered in their geography.

The principle should be:

**National government sets the destination and the guardrails; local government determines the best route.**

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## **5. Funding and commissioning**

Devolution without funding flexibility would have limited impact.

Strategic Authorities should progressively be provided with **multi-year, flexible employment and skills funding**.

Funding should be capable of being aligned across relevant programmes where doing so produces better outcomes.

This does not necessarily mean creating one enormous employment programme.

Rather, it means allowing local areas to coordinate different funding streams around a common strategy.

There should also be greater tolerance of local innovation.

If every pound has to be spent according to a centrally prescribed delivery model, local government becomes an administrator rather than a strategic commissioner.

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## **6. Accountability**

Accountability is essential, but it needs to operate at the correct level.

A Strategic Authority cannot reasonably be held fully accountable for an employment outcome if:

- it cannot determine the eligibility rules;
- it cannot control the referral pipeline;
- it cannot influence Jobcentre Plus provision;
- it has limited control over skills provision;
- it cannot integrate health services;
- it has no control over local transport barriers; or
- its funding is short-term and ring-fenced.

This creates **accountability without control**.

Instead, accountability should follow the principle:

**Those responsible for outcomes must have sufficient control over the resources and decisions required to influence those outcomes.**

DWP should therefore move towards a framework based on agreed local outcomes, rather than detailed central prescription of delivery.

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## **7. How should outcomes be measured?**

The current emphasis on immediate job outcomes can create perverse incentives.

For people furthest from the labour market, a successful intervention may initially involve:

- stabilising health;
- rebuilding confidence;
- addressing housing;
- developing basic skills;
- undertaking work experience;
- improving digital capability;
- engaging with an employer; or
- sustaining participation.

These may not immediately result in a Job Outcome but can be essential steps towards sustainable employment.

The Committee should therefore recommend a broader outcomes framework covering:

1. engagement;
2. progression;
3. skills development;
4. employment;
5. sustained employment;
6. earnings;
7. progression within employment;
8. reduced economic inactivity; and
9. improved employer outcomes.

Performance measurement should also recognise the distance travelled by people with significant barriers.

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## **8. The relationship with Jobcentre Plus**

The question should not be whether Jobcentre Plus or local government should "own" employment support.

The better question is:

**What should the individual experience, and which organisation is best placed to provide each element of that journey?**

Jobcentres have an important national role.

However, local systems should be able to build stronger relationships between Jobcentres and Strategic Authorities.

This should include:

- shared labour-market intelligence;
- shared referral protocols;
- data sharing;
- joint employer engagement;
- co-location where appropriate;
- joint local employment strategies; and
- clear pathways between Jobcentre and locally commissioned provision.

The new jobs and careers service agenda creates an opportunity to strengthen this relationship. The Committee's previous work has already highlighted the Government's intention to transform Jobcentres and create a stronger employment and careers offer.

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## **9. Areas without elected Mayors**

Devolution should not create a two-tier employment system in which people receive substantially different levels of support simply because of the governance structure of their area.

The Government's current approach recognises that areas without a devolution agreement can have an upper-tier or unitary local authority act as the accountable body for local Get Britain Working Plans.

This provides a useful foundation.

However, these areas should have access to comparable levels of flexibility and partnership working.

The principle should be:



**Governance arrangements may differ; the quality and ambition of employment support should not.**

There should also be mechanisms allowing neighbouring authorities to collaborate where labour markets cross administrative boundaries.

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## **10. Evidence and what explains differences between areas**

There is substantial evidence about what works in particular circumstances, but considerably less evidence about how to create an effective **local employment system at scale**.

The Government should therefore use devolution as an opportunity for structured learning.

Strategic Authorities should be encouraged to test:

- different referral models;
- different community access points;
- employer-led provision;
- integrated health and employment models;
- intensive support for people with multiple disadvantages;
- different approaches to skills;
- early intervention for young people;
- preventative support; and
- different approaches to sustained employment.

Evaluation should be built into programmes from the outset.

There should be a national **What Works in Local Employment Support** programme, bringing together evidence from Strategic Authorities and disseminating learning across the country.

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## **11. International comparators**

International experience suggests that successful employment systems tend to combine national objectives with local flexibility.

The Committee should examine, among others:

- devolved employment services in Australia;
- the German federal/state employment system;

- Nordic approaches to integrated employment and welfare support;
- local employment and skills systems in the Netherlands; and
- approaches to supported employment and Individual Placement and Support internationally.

The purpose should not be to copy another country's system.

Rather, the UK should identify the common principles that appear to support successful local employment systems:

**local intelligence + flexibility + integrated services + strong employer engagement + trusted access + clear outcomes + effective accountability.**

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## 12. Specific recommendations to the Committee

Compass Consult recommends that the Committee consider the following recommendations.

### Recommendation 1

Government should move from the devolution of individual employment programmes towards the progressive devolution of **local employment systems**.

### Recommendation 2

Strategic Authorities should receive meaningful flexibility over service design, cohort prioritisation, commissioning and referral arrangements.

### Recommendation 3

Government should develop a clear national/local division of responsibilities.

### Recommendation 4

Funding should increasingly move towards multi-year, flexible settlements capable of being aligned across employment and skills provision.

### Recommendation 5

Strategic Authorities should be given improved access to DWP, skills, health and labour-market data, subject to appropriate safeguards.

### Recommendation 6

A national minimum outcomes framework should be established, but local areas should be free to determine how those outcomes are achieved.

### **Recommendation 7**

Performance frameworks should place greater emphasis on sustained employment, progression and distance travelled, rather than job starts alone.

### **Recommendation 8**

Local employment systems should be required to demonstrate how they will reach people who are not engaging with Jobcentre Plus.

### **Recommendation 9**

Young people with multiple and overlapping disadvantages should be recognised explicitly within local employment strategies.

### **Recommendation 10**

Strategic Authorities should be encouraged to develop **single local referral and assessment pathways** across employment, skills, health and related services.

### **Recommendation 11**

Jobcentres and Strategic Authorities should operate as partners, supported by shared data, referral protocols and labour-market intelligence.

### **Recommendation 12**

Areas without Mayoral devolution should have access to comparable flexibilities and should be able to collaborate across administrative boundaries.

### **Recommendation 13**

Government should establish a national learning and evaluation framework to identify and disseminate effective local practice.

### **Recommendation 14**

Local employment strategies should be aligned explicitly with local skills improvement plans, economic strategies, health strategies and wider public-service reform.

## Conclusion

The current reform programme represents one of the most significant opportunities for reforming employment support in a generation.

Connect to Work, the Youth Guarantee, local Get Britain Working Plans and wider devolution create the building blocks for a more locally responsive system. The Government's original Get Britain Working White Paper envisaged Connect to Work reaching up to 100,000 people a year at full rollout, demonstrating the scale of the ambition.

However, there is a danger that devolution becomes administrative rather than transformational.

Simply transferring responsibility for nationally designed programmes to Strategic Authorities will not solve the fundamental problems of fragmentation.

The objective should instead be to create **integrated local employment systems** in which employment, skills, health, housing, justice, youth services and employer engagement work around the needs of the individual and the requirements of the local economy.

The test of devolution should therefore not be:

**"Has responsibility been transferred?"**

It should be:

**"Can local leaders now do something demonstrably better for people and employers than the previous system allowed them to do?"**

If the answer is yes, devolution has achieved its purpose.

If local areas remain constrained by fragmented funding, centrally prescribed programmes, incompatible data systems and narrow performance measures, then responsibility will have been devolved without sufficient power to make a difference.

The Committee therefore has an important opportunity to recommend a model in which:

**Government sets the national ambition.**

**Strategic Authorities design the local system.**

**Partners deliver the support.**

**Employers shape the demand.**

**And individuals experience one coherent journey into sustainable employment.**

That is the model most likely to turn the Government's ambition for Get Britain Working into lasting improvements in employment, skills and economic participation.

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